



Financial Setup: **Default G/L Accounts** **Traditional Solution**

SAP Business One
Version 10.0

PUBLIC

THE BEST RUN 

Welcome to the Default G/L Accounts – Traditional Solution topic.

Objectives



At the end of this topic, you will be able to:

- Implement the G/L Account Determination – Traditional Solution.

In this session, we will discuss how to implement the G/L Account Determination – Traditional Solution.

Business Scenario



You are implementing SAP Business One at a new customer, OEC Computers.

- James, the CEO, tells you that in the Profit and Loss report, he wants to see what are the profits for each item group (for example, Printers).
- He wants the system to automatically post journal entries to the relevant profit and loss accounts.

Imagine that you are implementing SAP Business One at a new customer.

- James, the CEO, tells you that in the Profit and Loss report, he wants to see what are the profits for each item group (for example, Printers).
- He wants the system to automatically post journal entries to the relevant profit and loss accounts.

Default G/L accounts For Items Used in Documents

Reminder: what is the traditional solution option for defining default G/L accounts?



- G/L Account Determination Window
 - Sales
 - Purchasing
 - General (for example, Period End Closing)
 - Inventory
 - Resources and WIP Mapping



- Traditional Solution –
[Default G/L method for an item](#)

- At the warehouse level
- At the item group level
- At the item level

- Advanced G/L Account Determination

Here is a reminder for the traditional solution.

- According to the traditional solution there are three options to define a default G/L method for an item: warehouse level, item group level, and item level. Each item will have one method defined for it. You can set the method in advance for all new items. You can then change the method per item.
- The values that you define under the tabs in the *G/L Account Determination* window are defaulted into all 3 levels. You can then change the default accounts for any of the levels. For example, you can manage different inventory accounts for each warehouse the company owns.
- Whenever you add a document that posts a journal entry, an A/R Invoice for example, the system looks at each item in the document to determine the level set for that item and then finds the associated G/L accounts to use from the default accounts.

Default G/L accounts

The Setup for the Traditional Solution

Item Groups - Setup

Item Group Name **1** J.B. Printers

General		Accounting	
#	Account Code	Account Name	
Expense Account	500005	Raw Materials - Cost of Goods Sold	
Revenue Account	400010	Printers Revenue	
Inventory Account	130000	Raw Materials	
Cost of Goods Sold Account	500005	Raw Materials - Cost of Goods Sold	
Allocation Account	208040	Goods Received Not Invoiced (GRNI) Clearing	
Variance Account	500200	Materials - Purchase Price Gains	
Price Difference Account	500200	Materials - Purchase Price Gains	
Negative Inventory Adjustment Acct	500005	Raw Materials - Cost of Goods Sold	
Inventory Offset - Decrease Account	500510	Stock Difference Losses	
Inventory Offset - Increase Account	500500	Stock Difference Gains	
Sales Returns Account	130081	Raw Materials Returns A/c	
Revenue Account - EU	410000	Sales Revenue (Foreign) - Product No.1	
Expense Account - EU	500005	Raw Materials - Cost of Goods Sold	
Expense Account - Foreign	410000	Sales Revenue (Foreign) - Product No.1	

G/L Account Determination

Period Selection 2020

Sales Purchasing General Inventory Resources WIP Mapping

General Tax

Accounts Receivable ... ☒ Permit Change of Control Accounts

Default Customer for A/R Invoice and Payment C99999 One Time Customer

#	Type of Account	Account Code	Account Name	Advanced Rules
	Domestic Accounts Receivable	140000	Trade Debtors (domestic)	
	Foreign Accounts Receivable	140030	Trade Debtors (foreign)	
	Checks Received	161016	GBP Bank No.1 (cheques received)	
	Cash on Hand	160000	Petty Cash	
	Overpayment A/R Account	655040	Miscellaneous Expenses	
	Underpayment A/R Account	655040	Miscellaneous Expenses	
	Down Payment Clearing Account	202010	Advance Customer Payments	
	Realized Exchange Diff. Gain	700020	Realised Foreign Exchange Gains	
	Realized Exchange Diff. Loss	650040	Realised Foreign Exchange Losses	
	Cash Discount	450005	Customer Discounts for Early Payment	
	Revenue Account	400000	Sales Revenue High-Tech	7 Rules
	Revenue Account - Foreign	410000	Sales Revenue (Foreign) - Product No.	
	Revenue Account - EU	410000	Sales Revenue (Foreign) - Product No.	
	Sales Credit Account	400000	Sales Revenue High-Tech	
	Sales Credit Account - Foreign	410000	Sales Revenue (Foreign) - Product No.	
	Sales Credit Account - EU	410000	Sales Revenue (Foreign) - Product No.	
	Down Payment Interim Account			
	Dunning Interest			

OK Cancel

Let us review the set-up of the traditional solution for G/L Account Determination.

The company default accounts under the *G/L Account Determination* window default to all 3 levels (warehouse level, item group level, and item level).

Then, you define the accounts at each required level. In the presented example, we define the accounts for each item group (this is step 1 in the graphic). This means that when an item using the item group level is chosen in a document, the system will automatically retrieve the accounts from the definition of the item group to which the item belongs.

Where are these default accounts set?

- For the item group level, the default accounts are set in the definition of each item group. The place to define an item group is found in the inventory setup area of the *Administration* module. Default accounts are maintained on the *Accounting* tab for the item group.
- Similarly, for the warehouse level, default accounts are set on the *Accounting* tab in the definition of each warehouse. Defining a warehouse is also done in the inventory setup area.
- If you set an item to be controlled at the item level, you set the G/L accounts directly in the item master.

Default G/L accounts

The Setup for the Traditional Solution

Item Groups - Setup

Item Group Name

1

J.B. Printers

General

Accounting

#	Account Code	Account Name
Expense Account	500005	Raw Materials - Cost of Goods Sold
Revenue Account	400010	Printers Revenue
Inventory Account	130000	Raw Materials
Cost of Goods Sold Account	500005	Raw Materials - Cost of Goods Sold
Allocation Account	208040	Goods Received Not Invoiced (GRNI) Clearing
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Sales Returns Account	130081	Raw Materials Returns A/c
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Expense Account - EU	500005	Raw Materials - Cost of Goods Sold
Expense Account - Foreign	410000	Sales Revenue (Foreign) - Product No.1

General Settings

BP

Budget

Services

Display

Fngrt & Bkgrd

Path

Inventory

Resources

Cash Flow

Items

Planning

Reporting

Serial Numbers and Batches

Management Method

On Every Transaction

Display Inactive Items In

☒ Reports

☒ Marketing Documents

Issue Primarily By

Serial and Batch Numbers

Unique Serial Numbers by

Serial Number

Display Batch Quantities By

☒ Document Row UoM

☐ Inventory UoM

☒ Auto. Create Equipment Card

Basic Setting for Batch Status

Released

☐ Block Multiple Receipts for Same Batch with Serial/Batch Valuation Method

Default Warehouse

General Warehouse

Set Inv. Method By

Item Group

☒ Auto. Add All Warehouses to New and Existing Items

2

Item Master Data

Item No.

Material

A00001

Description

J.B. Offprint 1403

Foreign Name

Item Type

Items

Item Group

J.B. Printers

UoM Group

Manual

Bar Code

Unit Price

Primary Cum.

GBP 200.00

☒ Inventory Item

☒ Sales Item

☒ Purchase Item

General

Purchasing Data

Sales Data

Inventory Data

Planning Data

Production Data

Properties

Remarks

Attachments

Set G/L Accounts By

Item Group

3

UoM Name

Weight

Valuation Method

Moving Average

#	Whse ...	Whse Name	Locked	In Stock	Committed	Ordered	Enforce ...	Available	Item Cost	Default B...	First Bin ...	Revenue Acc...	Exp...
1	01	General Warehouse	☐	382	11		☐	381	147.33			400010	500005
2	02	Backup Warehouse	☐	30			☐	30	200			400010	500005
3	03	Drop Ship	☐				☐					400010	500005
4	04	Consignment	☐				☐					400010	500005
5	05	Bin Warehouse	☐	1			☐	1	147.33		05-01-S	400010	500005
6				423	11			412					

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Once you have set the default accounts, you should also choose the default G/L method for new items in the *General Settings* on the *Inventory* tab. On the sub-tab for items, you will find the *Set G/L Accounts By* field. (This is step 2 in the graphic).

In our example, the default G/L method for new items was set to item group. Therefore, the default in any new item is the Item Group Level (as presented in step 3) and the accounts assigned to the item master data derive from the item group defined for this item (step 4).

Default G/L accounts in the Item Level

The Setup for the Traditional Solution

Set G/L Accounts by Item Level

#	WH Code	WH Name	Accounts Types
1	01	General Warehouse	Accounts Entered Manually
2	02	Drop Shipment	
3	03	Consignation	

Set G/L Accounts by Warehouse

#	WH Code	WH Name	Accounts Types
1	01	General Warehouse	Accounts from Warehouse Definition
2	02	Drop Shipment	
3	03	Consignation	

Set G/L Accounts by Item Group

#	WH Code	WH Name	Accounts Types
1	01	General Warehouse	Accounts from Item Group Definition
2	02	Drop Shipment	
3	03	Consignation	

These are the three options for choosing a default account set presented from the item point of view.

Each item can have one method defined for it.

In the warehouse and item group levels the accounts are derived from the warehouse or the item group and the user cannot change them.

In the item level the user enters the accounts manually into the item master.

Note that although you specify one default G/L method for new items, you can manage different items with different methods if this scenario is necessary in your company. Just change the default level in the item master as needed.

Note! After the warehouse or the item group level is defined in an item, you can switch to the item level method and assign different G/L Accounts to be used in the monetary transactions.

Summary



Here are some key points:

In the *G/L Account Determination* window you define:

- Default G/L accounts to be used in transactions.

The traditional solution allows you to define:

- Default G/L method for an item.

There are three options to define a default G/L method for an item:

- Warehouse level
 - Item group level
 - Item level
-

Here are some key points:

In the *G/L Account Determination* window, you define the default G/L accounts to be used in transactions.

The traditional solution allows you to define default G/L method for an item.

There are three options to define a default G/L method for an item:

- Warehouse level
- Item group level
- Item level

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